ACC250: Intro to Financial Accounting

Ch10. Liabilities

Jaeyoon Yu, Ph.D.
Central Michigan University

Learning Objectives

- Separate **current** from **non-current** liabilities.
- Record **deferred revenues**, **sales tax payable**, and **notes payable** with **interest**.
- Identify non-current items: **long-term notes**, **bonds payable**, and **lease liabilities**.
- Measure creditor financing with the **debt-to-assets ratio**.

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   - Deferred Revenues
   - Notes payable
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4. Ratio analyses: Debt-to-asset ratio

Liabilities

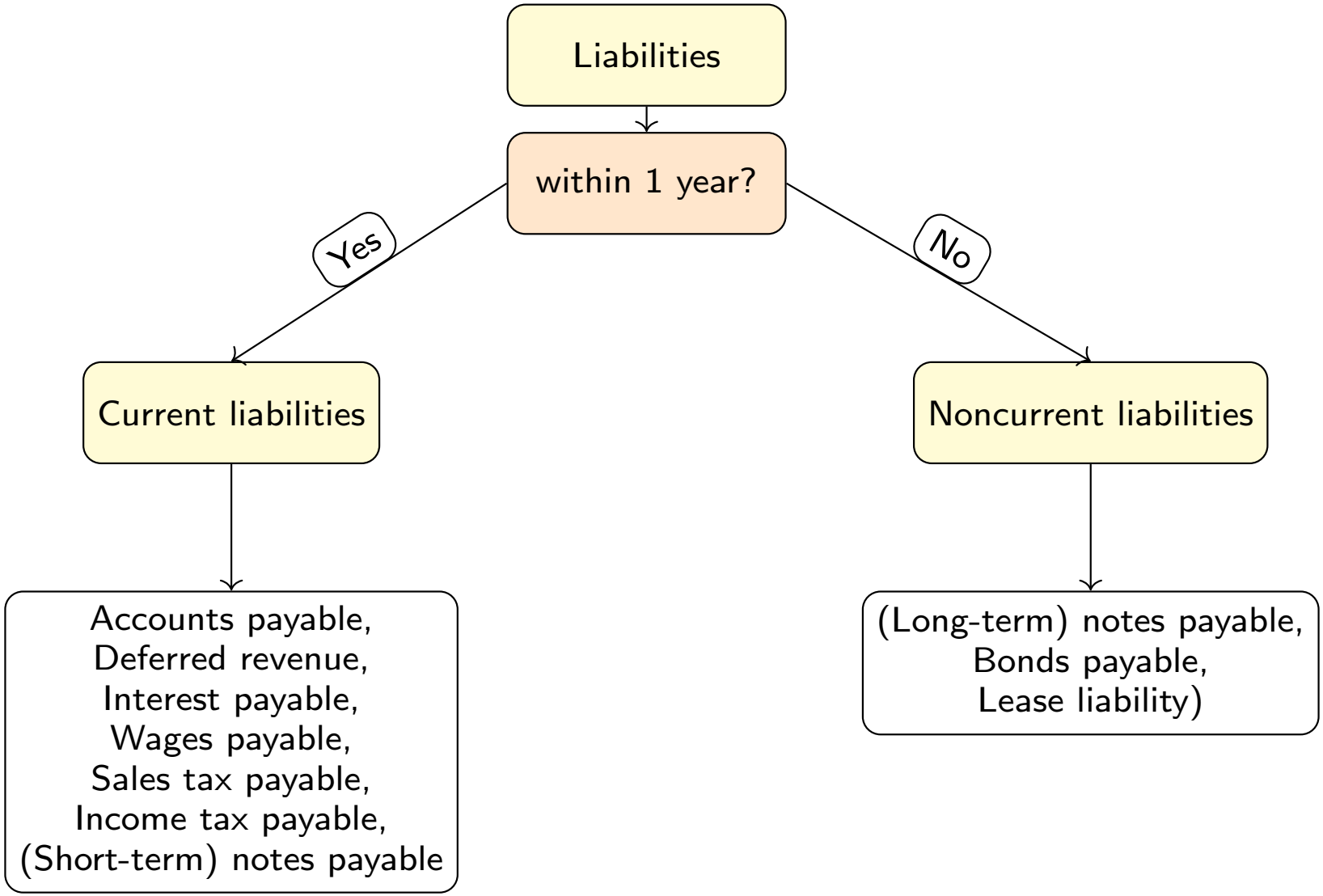
Liabilities

Obligations of a business that are expected to be settled in the future through the transfer of assets or services.

Characteristics of liabilities:

- probable future sacrifices of economic benefits.
- arising from past transactions or events.
- settled through the transfer of assets or services.

Liabilities - Classification



Accrued liabilities

Liabilities **for expenses that have been incurred but not yet paid** at the end of the accounting period.

- **Interest Payable**: Interest expense has been recognized; but not paid yet.
- **Taxes Payable**: Income tax expense has been recognized; but not paid yet.
- **Salaries Payable**: Salaries expense has been recognized; but not paid yet.
- **Accounts Payable**: Goods or services have been received; but not paid yet.

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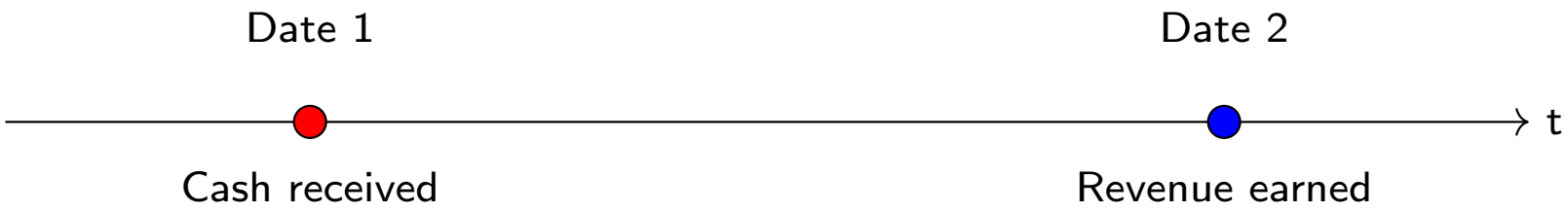
4 Ratio analyses: Debt-to-asset ratio

Deferred Revenues

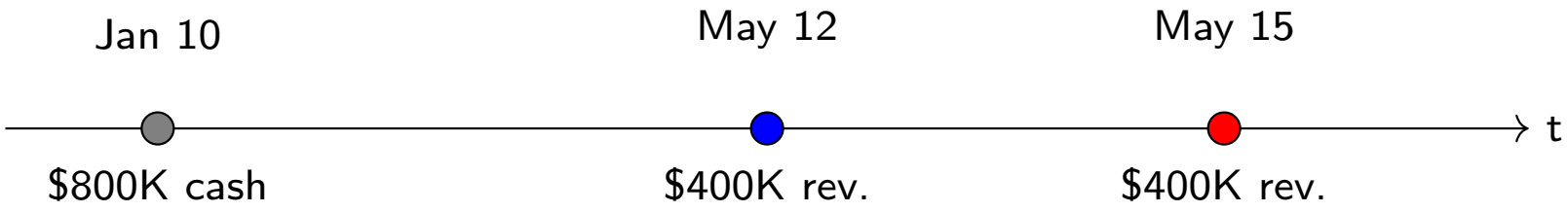
Deferred (Unearned) Revenues (Liability)

Cash received before the service is performed or the product is delivered.

- Cash received before the revenue is earned.
- A liability until the revenue is earned.
- Examples: advance ticket sales, subscriptions, and gift cards.



EX. On Jan 10, Live Nation received $800K cash for advance ticket sales for two concerts to be held on May 12 and 15 of the same year. Prepare journal entries required on Jan 10, May 12, and May 15.



1. Jan 10:

2. May 12:

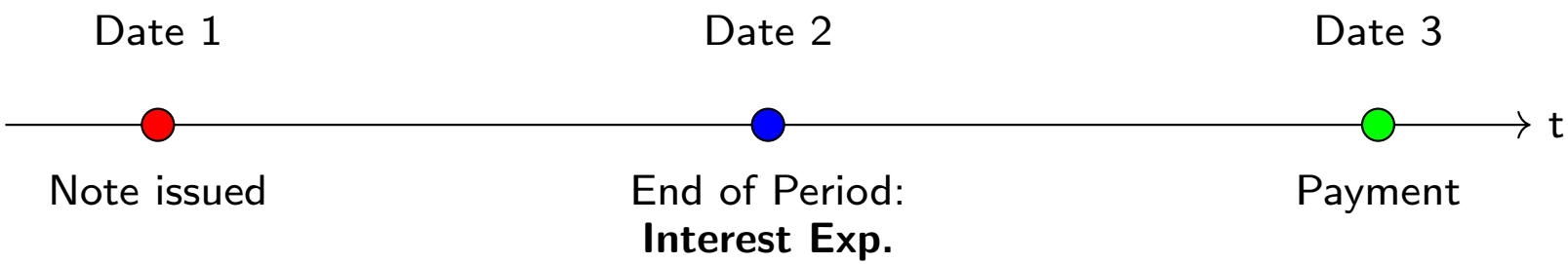
3. May 15:

Notes payable

Notes payable (Liability)

Written promises to pay to lenders (usually banks) a specific amount of money at a future date.

- Can be short-term (due within one year) or long-term (due after one year).
- Recorded as a liability when the note is issued.
- Interest expense is recorded periodically until the note is paid off.



Notes payable

Interest Expense (Expense)

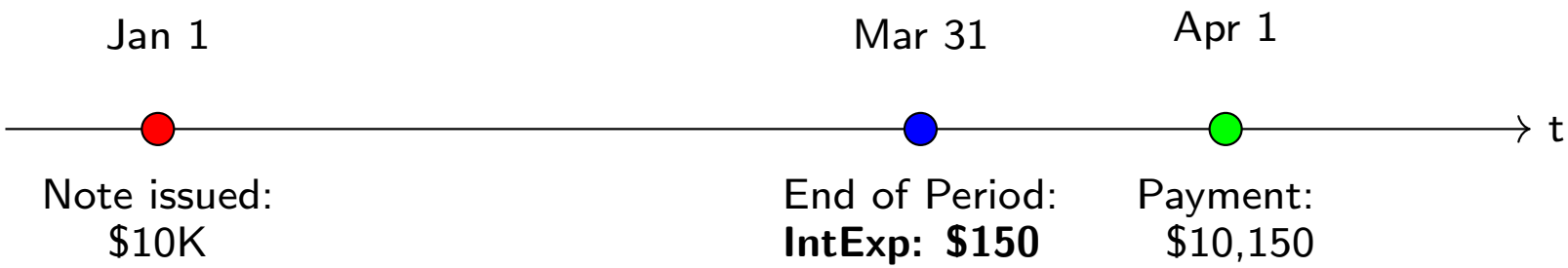
Interest incurred on loans or other borrowings during a period.

Interest Payable (Liability)

Interest owed on loans or other borrowings that has not yet been paid.

Short-term notes payable - Example 1

EX. A company borrows \$10K cash from a bank on Jan 1. The note has a 6% interest rate and is due in 90 days. The company will pay the principal and interest on Apr 1. This company prepares its financial statements quarterly (at the end of March, June, Sep, and Dec). Prepare necessary journal entries from the issuance of the note to the payment of the note at maturity, including adjustment journal entries.



1. How much borrowed? _____
2. How much interest expense would accrue monthly?

   _____
3. Interest payable on the B/S as of March 31?

   _____

EX. A company borrows $10K cash from a bank on Jan 1. The note has a 6% interest rate and is due in 90 days. The company will pay the principal and interest on Apr 1. This company prepares its financial statements quarterly (at the end of March, June, Sep, and Dec). Prepare necessary journal entries from the issuance of the note to the payment of the note at maturity, including adjustment journal entries.

1. Jan 1: Issuing a note

2. Mar 31: Adjustment - Recognition of interest expense

3. Apr 1: Interest payment

4. Apr 1: Principal payment

The last two transactions, **interest payment and principal payment**, can be combined into one journal entry as follows:

Short-term notes payable - Example 2

EX. On Oct 31, 2021, General Mills (GM) borrowed $100K cash on a one-year note that required GMs to pay 6% interest and the $100K principal, both on Oct 31, 2022. GM prepares its financial statements on Dec 31. Prepare necessary journal entries.

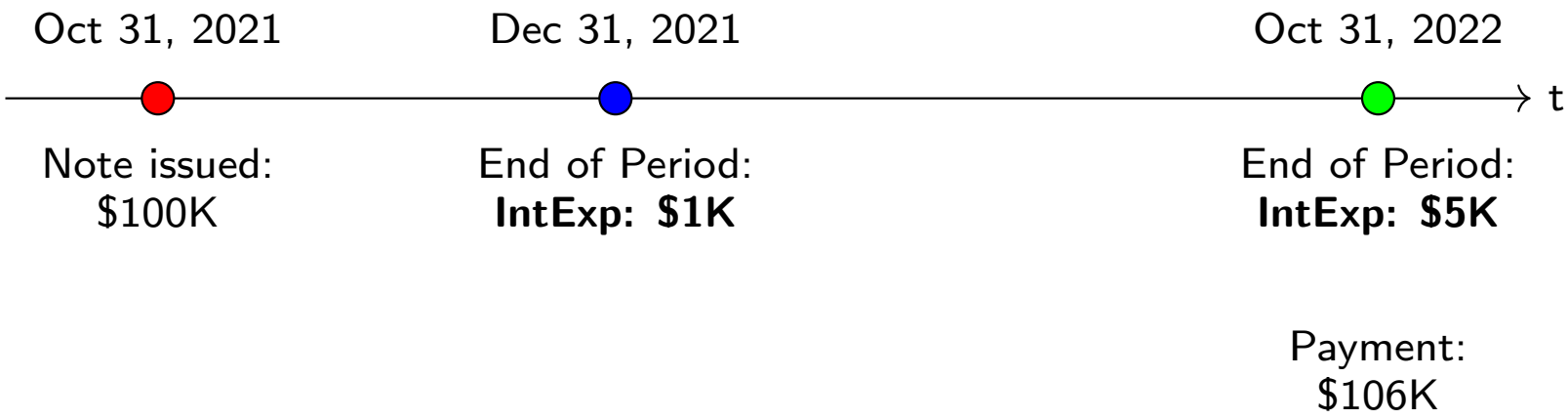
1. What is the principal amount / annual interest rate on the note / interest payment due?

2. How much interest will GM pay on due date?

3. How much cash will General Mills pay on Oct 31, 2022 in total?

4. How much interest expense should be recognized at the end of 2021?

EX. On Oct 31, 2021, General Mills (GM) borrowed $100K cash on a one-year note that required GMs to pay 6% interest and the $100K principal, both on Oct 31, 2022. GM prepares its financial statements on Dec 31. Prepare necessary journal entries.



EX. On Oct 31, 2021, General Mills (GM) borrowed $100K cash on a one-year note that required GMs to pay 6% interest and the $100K principal, both on Oct 31, 2022. GM prepares its financial statements on Dec 31. Prepare necessary journal entries.

1. Oct 31, 2021: Issuing a note

2. Dec 31, 2021: Adjustment - Recognition of interest expense

EX. On Oct 31, 2021, General Mills (GM) borrowed $100K cash on a one-year note that required GMs to pay 6% interest and the $100K principal, both on Oct 31, 2022. GM prepares its financial statements on Dec 31. Prepare necessary journal entries.

3. Oct 31, 2022: Recognition of interest expense **and** interest payment

- $1K: Interest expense in 2021, held in Interest Payable until paid.
- $5K: Interest expense in 2022, recognized just before interest payment.
- $6K: Total interest payment made on Oct 31, 2022.

4. Oct 31, 2022: Principal payment

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Noncurrent liabilities

Obligations that are not expected to be settled within one year or the operating cycle, whichever is longer.

Examples:

- Long-term notes payable
- Bonds payable
- Lease liability

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Ratio analyses: Debt-to-asset ratio

Debt-to-Asset Ratio

the proportion of a company's assets that are financed by debt.
Calculated as: $\frac{\text{Total Liabilities}}{\text{Total Assets}}$

Higher leverage means:

- Higher accounts payable; salaries payable; notes payable; interest payable, etc.
- So higher future cash outflows are expected.
- Liabilities must be paid off even if the firm does not generate enough cash flows.
- Higher risk of bankruptcy.

EX. A company has total liabilities of $300K and total assets of $500K. Calculate the debt-to-asset ratio.

1. Debt-to-Asset Ratio: $\frac{\$300K}{\$500K} = 0.6$ or 60%
2. Interpretation: 60% of the company's assets are financed by debt.

EX. Compare the debt-to-asset ratios of two companies:

- Company A: Total Liabilities = \$400,000, Total Assets = \$1M
- Company B: Total Liabilities = \$600,000, Total Assets = \$800K

Answers:

1. Company A's Debt-to-Asset Ratio: $\frac{\$400K}{\$1M} = 0.4$ or 40%
2. Company B's Debt-to-Asset Ratio: $\frac{\$600K}{\$800K} = 0.75$ or 75%
3. Interpretation: Company B has a higher debt-to-asset ratio, indicating higher financial leverage and potentially higher risk.